

Research Briefing | France

Dissecting the official estimates for Q1 activity in France

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- Our bottom-up estimates for France's economy suggest that activity could contract by 30% at the peak of the coronavirus crisis due to containment measures. Preliminary estimates released by INSEE and Banque de France suggest that the economic fallout could even be slightly larger.
- Given the lack of timely economic indicators, it's tempting to consider these official estimates as "normative" and extend them over time or to apply the relative impact to other countries. However, both institutions attached clear caveats warning against viewing these figures as official hard data.
- Regular updates to bottom-up approaches are needed as economic indicators become available, while supply-demand balances should be monitored constantly to spot potential changes in the share of production capacities in operation.

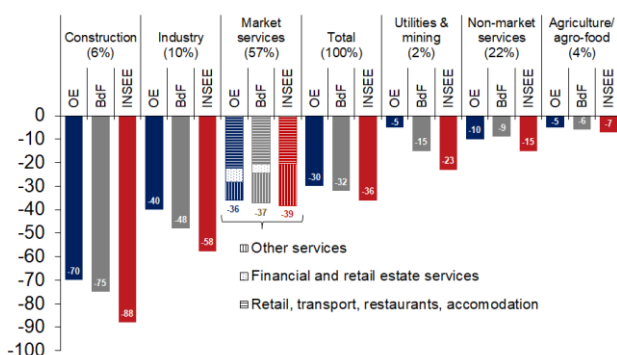
The French national institute of statistics (INSEE) and the Banque de France (BdF) are among the few official institutions around the globe to have published initial estimates of the economic impact of coronavirus containment measures. Their preliminary figures released last week suggest that activity is somewhere between 32%-36% below "normal levels". Our own bottom-up estimates produced during our last economic forecasts, which use sectoral assumptions, suggest a 30% fallout due to the lockdowns (**Figure 1**).

We made a significant downward revision in our [April forecast round](#), and now project a massive economic contraction of 5.3% for France in 2020. But this was prior to the recent announcement by President Macron that the lockdown will be extended to May 11, two weeks longer than we had anticipated. This will lead to a further, significant downward revision in our next forecast round in early May.

Figure 1: How lockdowns are affecting production, by sector

France: Impact of lockdown on production

Loss in output relative to "normal levels", %



Source : Oxford Economics/INSEE (9 Apr)/ Banque de France (8 Apr)

Our initial bottom-up estimates showed French activity could have contracted by 30% due the lockdown. INSEE and BdF suggest the fallout could have been bigger, notably due to a sharper contraction in the manufacturing and the construction sectors. The latter has suffered from union calls to stop works over concerns for workers' safety.

France - Dissecting the official estimates for Q1 activity

Given the lack of economic indicators, it could be tempting to consider the estimates released by the French official institutions as “normative” and extend them over time or to other countries. However, we recall the warnings raised by both institutions that these preliminary figures should not be considered as hard data or official forecasts. Notably, we think the following caveats should be borne in mind:

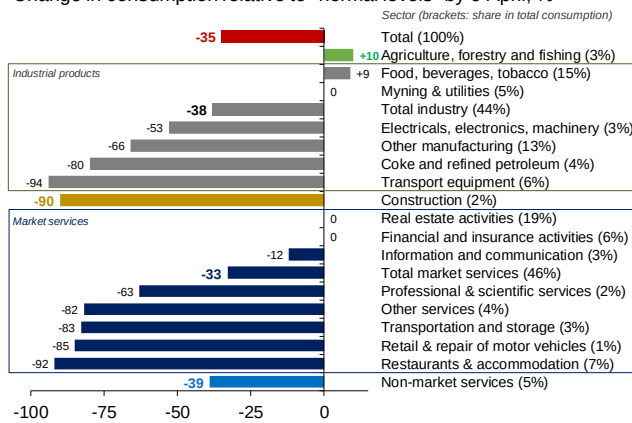
- 1) **Timely updates of the bottom-up approaches (official and ours) are needed** as ‘hard’ economic indicators for March become available. Current preliminary estimates use survey results and real-time indicators, such as daily credit card payments or electricity production, as inputs. But these are of limited use in quantifying the scale of changes at turning points, are very sensitive to small differences in assumptions, and lead to less performant estimates than usual.
- 2) **The estimates reflect particularities of the French economy and cannot be replicated** in other economies. The best example of French specificities is the marked fallout in the construction sector (**Figure 2**), which was triggered by calls from unions to suspend all works, rather than the containment measures. These unions considered workers’ safety conditions were not being met, notably due to a lack of masks.
- 3) **The share of production capacities in operation can change at the margin in some sectors** even if the nature of containment measure does not change. This is notably the case for firms that needed some time to adapt distribution chains to the new situation (retail, delivery sectors), or those that are receiving public support to resume activity (construction). Especially, imbalances between supply and demand can necessitate increasing output in some sectors or, in contrast, further shutting-down others (**Figure 3**).

Finally, we harbour some doubts over the 6% q/q GDP contraction that the BdF has estimated for Q1, which was “deducted approximately by dividing by six the -32% estimated loss of activity [...] while the rise in GDP in the first two months of the year does not affect the calculation”. Our in-house GDP indicator suggests that if March activity had remained at February levels, GDP would have expanded by 0.16% q/q in Q1. By keeping the equivalent monthly growth for Jan/Feb (ie. 0.05% m/m), and assuming zero growth in the first three weeks of March, we can deduce estimates of Q1 growth depending on the size of the economic fallout from the lockdown implemented on March 17 (**Figure 4**). Rather, we think the GDP contraction in Q1 will be around 4.5% q/q.

Figure 2: The economic impact of the lockdown is uneven across sectors

France: Impact of lockdown on consumption

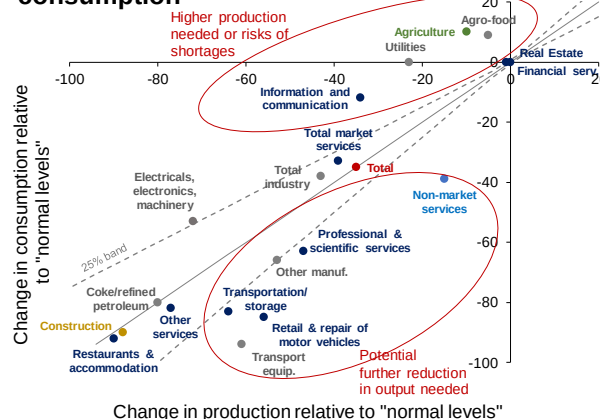
Change in consumption relative to “normal levels” by 9 April, %



Source : Oxford Economics/INSEE estimates as of 9 April

Figure 3: Production and consumption have not followed the same path in some sectors

France: Impact of lockdown on output and consumption



Source : Oxford Economics, INSEE estimates as of 9 April

Figure 4: Growth in Jan/Feb is not neutral for Q1 despite the massive fallout from the lockdown

Q1 GDP growth in different assumptions (q/q, %)*

		Economic fallout following the lockdown - from 17 March (%)			
		-30	-32	-34	-36
Average monthly growth in January and February (%)	-1.00	-5.6	-5.8	-6.1	-6.6
	-0.50	-4.8	-5.1	-5.3	-5.6
	0.00	-4.0	-4.3	-4.5	-4.8
	0.05	-3.9	-4.2	-4.5	-4.7
	0.10	-3.8	-4.1	-4.4	-4.6

* Assumes 0% growth in the first 3 weeks of March, before the lockdown was put in place on 17 March.

Source: Oxford Economics